

25STCV26471 25STCV26471

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Case Number: 25STCV26471 Hearing Date: August 7, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: August

7, 2026

CASE NAME: Neal

and Jean Enterprises, Inc., et al. v. The Special Assets Management Group,
Inc., et al.

CASE NO.: 25STCV26471

DEMURRER

TO FIRST AMENDED COMPLAINT WITH MOTION TO STRIKE

MOVING PARTY: Defendant

SK Commercial Group dba Special Asset Management

RESPONDING PARTY(S): None

REQUESTED RELIEF:

1. Demurrer

to the first, second, third, fourth, fifth, and sixth causes of action for
failing to state sufficient facts and for uncertainty;

2. Motion

to strike portions of the FAC pertaining to punitive damages and attorneys' fees.

TENTATIVE RULING:

1. Demurrers

to the first, second, third, and sixth causes of action are OVERRULED;

2. Demurrers

to the fourth and fifth causes of action are SUSTAINED without leave to amend;

3. Motion

to strike is GRANTED as to paragraph 69 and is otherwise DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On September 9, 2026, Plaintiffs Neal and Jean Enterprises, Inc. and Cary Johnson (Plaintiffs) filed a complaint against Defendant The Special Assets Management Group, Inc. d/b/a Special Asset Management (Defendant) with causes of action for: (1) intentional interference with contract; (2) violation of California Unruh Civil Rights Act; (3) intentional interference with prospective economic advantage; (4) intentional infliction of emotional distress; (5) negligent infliction of emotional distress; and (6) violation of Bus. & Prof. Code § 17200.

According to the complaint, Plaintiffs sought to purchase a laundromat and required the landlord-Defendant's approval to assume the existing lease, but Defendant repeatedly denied their lease applications despite Plaintiffs providing financial documents, tax returns, and proof of loan approval. Plaintiffs allege that the Defendant's refusals were motivated by racial discrimination after learning that Plaintiff Cory Johnson was African-American. As a result, the seller withdrew from the sale, preventing Plaintiffs from completing the purchase and causing economic loss and emotional distress.

On January 20, 2026, Plaintiffs filed the operative first amended complaint (FAC). The FAC adds Defendant SK Commercial Group as a party. The claims remain unchanged.

On June 5, 2026, Defendant SK Commercial Group (SK) filed the instant demurrer with motion to strike. Oppositions were due on or before July 27, 2026. As of August 4, 2026, the court has not received any oppositions.

LEGAL STANDARD:

Meet and Confer

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3). The meet and confer requirement also applies to motions to strike. (CCP § 435.5.)

Here, there is no meet and confer declaration. Therefore the requirement is not met. Still, failure to meet and confer, alone, is insufficient to sustain or overrule a demurrer or to deny or grant a motion to strike. (CCP § 430.41(a)(4), § 435.5(a)(4).)

Demurrer – Sufficiency of Facts

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn 147 Cal.App.4th at 747.)

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When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)

Demurrer

– Uncertainty^[1]

CCP § 430.10(f) provides that a party may demurrer to a pleading because: “The pleading is uncertain. As used in this subdivision, “uncertain” includes ambiguous and unintelligible.”

However, “demurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Morris v. JPMorgan Chase Bank, N.A. (2022) 78 Cal.App.5th 279, 292.) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Chen v. Berenjian (2019) 33 Cal.App.5th 811, 822.) “A demurrer for uncertainty should be overruled when the facts as to which the complaint is uncertain are presumptively within the defendant’s knowledge.” (Ibid.)

Motion to Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id., § 436(b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id. § 437.) “When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.” (Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768.)

ANALYSIS:

Demurrer

First Cause of

Action: Intentional Interference with Contract

SK contends Plaintiffs failed to sufficiently allege

intentional acts designed to induce a breach or disruption of the contractual relationship and resulting damage. Instead, Plaintiffs plead a thorough review process and a reasonable denial of a lease application and damages were from Seller's decision to withdraw rather than from SK's actions. SK additionally contends that the defense of justification defeats this claim since it appears on the face of the FAC.

A claim for intentional interference with contract requires: (1) a valid contract between the plaintiff and a third party; (2) the defendant's knowledge of that; (3) the defendant's intentional acts designed to induce disruption of the relationship; (4) actual disruption; and (5) resulting damage. (Reeves v. Hanlon (2004) 33 Cal.4th 1140, 1148; Asahi Kasei Pharma Corporation v. Actelion Ltd. (2013) 222 Cal.App.4th 945, 963-964 ["[a] stranger' ..., means one who is not a party to the contract or an agent of a party to the contract."]; Sole Energy Co. v. Petrominerals Corp. (2005) 128 Cal.App.4th 212, 238 ["Proof the interfering conduct was wrongful, independent from the interference itself, is not required to recover for interference with contractual relations."].)

"An action lies for the intentional interference by a third person with a prospective economic advantage or a contractual relationship either by unlawful means or by means otherwise lawful when there is a lack of sufficient justification or privilege for such interference." (Sade Shoe Co. v. Oschin & Snyder (1984) 162 Cal.App.3d 1174, 1179.) "The unjustifiability of wrongfulness of the act may consist of the purpose or motive of the actor as well as the method used." (Ibid.) "Whether an intentional interference by a third party is justifiable turns upon a balancing of the social and private importance of the objective advanced by the interference against the importance of the interest interfered with, considering all the circumstances including the nature of the actor's conduct and the relationship between the parties." (Id. at p. 1180.) This is a question of fact unless the allegations show justification or privilege as a matter of law. (Ibid.)

In Sade Shoe, the Court of Appeal found the complaint did not plead justification in its face. There, the plaintiff alleges that "the defendant withheld consent for its own personal gain and benefit, viz., in order to regain possession of the lease premises and/or extract additional rent." (Sade

Shoe, supra, 162 Cal.App.3d at p. 1181.) The Court reasoned these allegations suggested an absence of privilege or justification. Additionally, the Court reasoned there were no allegations demonstrating financial interest privilege such that this could be determined as a matter of law rather than one of fact. (Ibid.)

After reviewing the FAC, Plaintiffs sufficiently alleged a claim for intentional interference with contractual relations.

To start, there are sufficient allegations of actions intended to induce disruption of the relationship. First, Plaintiffs allege that SK responded to Plaintiffs' first lease application with a denial supporting with reasons. (FAC ¶ 16.) Second, Plaintiffs allege that they denied the resubmitted application despite Plaintiffs' supporting documents and requested two years of corporate tax returns and a letter from the lender showing loan approval. (FAC ¶¶ 17, 20, 21, 22, 23.) Third, Plaintiffs allege that despite all of this additional documentation, SK denied the application claiming that Plaintiffs weren't "capable of running a laundromat." (FAC ¶ 24.) Read together, these allegations support two inferences: Plaintiffs had sufficient financial evidence or Plaintiffs had insufficient financial evidence. While this is more detail than provided in Sade Shoe, the court is not persuaded that SK's actions can be decided as a matter of law and not a factual dispute. Put differently, there is a factual dispute as to whether SK's actions in denying the application due to financial conditions was reasonable or privileged.

Next, Plaintiffs sufficiently alleged damages. Notably, they alleged that the Seller "seeing that [SK] would not approve Plaintiffs as successor Tenant, withdrew the offer of sale." (FAC ¶ 27.) This is sufficient for the pleading stage to show a connection between SK's actions and Plaintiffs' damages.

Accordingly, the court OVERRULES SK's demurrer to the first cause of action.

Second Cause of
Action: Violation of California Unruh Civil Rights Act

SK contends this claim fails because there are no facts that they intentionally discriminated against Plaintiffs and/or denied Plaintiffs full and equal treatment.

The Unruh Civil Rights Act (Unruh Act)

provides that “all persons within the jurisdiction of this state are free and equal, and no matter what their sex, race, color, religion, ancestry, national origin, disability, or medical condition are entitled to the full and equal accommodations, advantages, facilities, privileges, or services in all business establishments of every kind whatsoever.” (Civil Code, § 51, subd. (b).)

“No business establishment of any kind whatsoever shall discriminate against . . . or refuse to . . . contract with, sell to, or trade with any person in this state on account of any characteristic listed or defined in subdivision (b) or (e) of Section 51” (Civ. Code § 51.5(a). For this section, person includes a person as well as an organization or corporation. (Id. at subd. (b).)

The phrase “all business establishments of every kind whatsoever” is “interpreted as broadly as reasonably possible . . . to entities acting as private business establishments.” (Brennon B. v. Superior Court (2022) 13 Cal.5th 662, 678.) Courts generally apply the Unruh Civil Rights Act to commercial enterprises engaging in behavior involving sufficient businesslike attributes. (Id. at p. 681.)

Here, Plaintiffs sufficiently stated this claim. First, they allege they were denied assignment approval by SK due to their race rather than a good reason. (FAC ¶¶ 18, 19, 24, 40, 43.) These allegations fall within Civ. Code § 51.5(a)’s prohibition of refusing to contract with or sell to due to race. Thus, this is sufficient for the pleadings stage.

Accordingly, the court **OVERRULES** SK’s demurrer to the second cause of action.

Third Cause of

Action: Intentional Interference with Prospective Economic Advantage

SK contends this claim fails because there is no independently wrongful conduct aside from the alleged interference itself. SK reiterates their justification argument.

To establish tortious interference, Plaintiffs must prove the existence of an economic relationship with a probability of future benefit, Defendants’ knowledge of that

relationship, intentional acts designed to disrupt it, actual disruption, and resulting harm. The conduct must also be independently wrongful. (Golden Eagle Land Inv., L.P. v Rancho Santa Fe Assn. (2018) 19 Cal.App.5th 399, 429–430; Crown Imports, LLC v Superior Court (2014) 223 Cal.App.4th 1395, 1404.)

Here, Plaintiffs sufficiently alleged this claim.

Specifically, the alleged interference is independently wrongful because it violates the Unruh Civil Rights Act.

Accordingly, the court OVERRULES SK's demurrer to the third cause of action.

Fourth Cause of

Action: Intentional Infliction of Emotional Distress

SK contends this claim fails because there are no facts supporting it.

The elements of an intentional infliction of emotional distress (IIED) cause of action are: (1) extreme and outrageous conduct by the defendant; (2) intention to cause or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering; and (4) actual and proximate causation of the emotional distress. (See *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780.) To satisfy the element of extreme and outrageous conduct, defendant's conduct "must be so extreme as to exceed all bounds of that usually tolerated in a civilized society." (Ibid.) (internal citations omitted.)

While there is no bright-line as to what constitutes outrageous conduct and thus this involves a case-by-case analysis, courts can determine whether conduct was sufficiently outrageous at the demurrer stage. (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494.) Recovery for emotional distress caused by injury to property is permitted in IIED claims. (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 203-04.) (internal citations omitted.)

Here, Plaintiffs insufficiently stated this claim. Notably absent are allegations of extreme and outrageous conduct. Instead, Plaintiffs

allege that SK requested additional financial documents and ultimately refused to accept a sublease due to Plaintiffs' race instead of for a proper purpose. (FAC ¶¶ 16, 17, 20, 21, 22, 23, 24, 25, 28, 63.) The court is not convinced this is sufficient.

Accordingly, the court SUSTAINS SK's demurrer to the fourth cause of action.

Fifth Cause of
Action: Negligent Infliction of Emotional Distress

SK contends this claim fails because there is no duty of care owed to Plaintiffs.

A claim for negligent infliction of emotional distress (NIED) requires: (1) a legal duty to use due care (direct victim or bystander), (2) breach of such legal duty, (3) damage or injury (serious emotional distress), and (4) cause of the resulting damage or injury. (Huggins v. Longs Drug Stores California, Inc. (1993) 6 Cal.4th 124, 129.)

Upon reviewing the FAC, Plaintiff insufficiently alleged a claim for NIED. Notably, Plaintiff failed to allege facts showing duty.

Accordingly, the court SUSTAINS SK's demurrer to the fifth cause of action.

Sixth Cause of
Action: Violation of Bus. & Prof. Code § 17200

SK contends this claim fails because there is no unlawful conduct since the Unruh claim fails and there is no unfair conduct because they are not competitors in any market.

California Business and Professions Code section 17200 prohibits "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.) A business practice is unfair when it offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers." (Community Assisting Recovery, Inc. v. Aegis

Security Ins. Co. (2001) 92 Cal.App.4th 886, 894.) A

business practice is unlawful if it violates another law. (Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1554.) A business practice is fraudulent if “members of the public are likely to be deceived.” (See Wang v. Massey Chevrolet (2002) 97 Cal. App. 4th 856, 871.) “A plaintiff alleging unfair business practices . . . must state with reasonable particularity the facts supporting the statutory elements of the violation.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

Here, Plaintiffs sufficiently stated this claim because they have alleged an unlawful business practice of refusing to sublet due to race. (FAC ¶ 28.) This is sufficient for the pleadings stage.

Accordingly, the court **OVERRULES** SK’s demurrer to the sixth cause of action.

Motion to Strike

SK seeks an order striking the following parts of the FAC:

1. Paragraph

48, lines 10-11: “Plaintiffs seek the award of punitive damages against Defendants, pursuant to CCP Sec. 3294, to deter them from engaging in such conduct in the future.”

2. Paragraph

59, lines 11-12: “Plaintiffs seek the award of punitive damages against Defendants, pursuant to CCP Sec. 3294, to deter them from engaging in such conduct in the future.”

3. Paragraph

60, lines 12-13: “Plaintiff Johnson therefore seeks an award of punitive damages against Defendants, pursuant to CCP Sec. 3294, to deter them from engaging in such conduct in the future.”

4. Paragraph

49, lines 12-13: “Plaintiffs also seek the award of reasonable attorney’s fees to the full extent allowable by law.”

5. Paragraph

81, lines 25-26: "Plaintiffs seeks the award of reasonable attorney's fees and costs against all Defendants, jointly, and severally, on this count."

6. Prayer

for Relief, Paragraph 3: "Plaintiffs individually and jointly pray for Punitive Damages against all Defendants on Counts 1 through 4, to deter them from engaging in such conduct in the future."

7. Prayer

for Relief, Paragraph 6: "For costs of suit, and reasonable attorney's fees to the full extent allowable by applicable law on all counts for which attorney's fees are allowable (including specifically, Counts Two and Six), against all Defendants."

Punitive Damages

SK contends Plaintiffs insufficiently alleged facts, rather than conclusions, supporting punitive damages.

To obtain punitive damages, a plaintiff must plead sufficient facts in support of punitive damages. (See *Hilliard v. A.H. Robins Co.* (1983) 148 Cal.App.3d 374, 391-92.) In addition, punitive damages are allowed only where "it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice." (Civ. Code, § 3294(a).) Courts have viewed despicable conduct as conduct "so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people. (*Scott v. Phoenix Schools, Inc.*, (2009) 175 Cal.App.4th 702, 715.) Further, Civil Code § 3294(c) provides the definition of malice, oppression, and fraud. Malice is "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Ibid.) Oppression is "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Ibid.) Fraud is "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Ibid.)

Here, Plaintiffs' request for punitive damages is sufficiently plead. First, the Unruh Civil Rights Act is a statute prohibits discrimination in business based on race. (Civ. Code § 51(b).) This

demonstrates a public policy against discrimination, which in turn supports the malice component of Civ. Code § 3294(a). (See *Roberts v. Ford Aerospace & Communications Corp.* (1990) 224 Cal.App.3d 793, 804 [noting strict prohibitions on race discrimination and retaliation under Cal. Const., art. I, § 8 and Gov. Code § 12940 et seq.]) Plaintiffs allege that race was the motivation for SK's actions. (FAC ¶ 28.) For pleading purposes, then, this is sufficient to show malice.

Accordingly, the court DENIES SK's motion to strike the punitive damages allegations.

Attorneys Fees

SK contends the attorneys' fees request fails because there is no agreement entitling Plaintiffs to them.

Unless a contract or statute provides otherwise, each party to a lawsuit must pay its own attorney fees. (CCP § 1021; *Brown Bark III, L.P. v. Haver* (2013) 219 Cal.App.4th 809, 818.)

Plaintiffs only seek attorneys' fees for their second and sixth causes of action. (FAC ¶¶ 49, 81.) SK is correct that there is no contractual relationship providing for attorneys' fees. The court turns to whether there is statutory authority. Civ. Code § 52(a) provides for attorneys' fees for the second cause of action. Therefore, it is inappropriate to strike paragraph 69. There is no statutory authority for the sixth cause of action. (See *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 371 ["Prevailing plaintiffs are generally limited to injunctive relief and restitution. [Citations.] Plaintiffs may not receive damages ... or attorney fees."]) Therefore, it is appropriate to strike paragraph 81. Finally, it is inappropriate to wholesale strike the prayer for relief because it encompasses a request for valid attorneys' fees on the second cause of action as well as for reasonable costs. Thus, the request to strike the prayer is too broad.

Accordingly, the court GRANTS the motion to strike as to paragraph 81 and otherwise DENIES the motion to strike paragraph 69 and the prayer request.

Leave to Amend

Leave to amend must be allowed where there is a reasonable

possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Here, Plaintiffs did not file an opposition. The court accepts this as a concession. (See Moulton Niguel Water Dist. v. Colombo (2003) 111 Cal.App.4th 1210, 1215[[C]ontentions are waived when a party fails to support them with reasoned argument and citations to authority.”]) This also informs the court that Plaintiff cannot reasonably amend to cure this defect.

Accordingly, the court DENIES leave to amend.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Demurrers

to the first, second, third, and sixth causes of action are OVERRULED;

2. Demurrers

to the fourth and fifth causes of action are SUSTAINED without leave to amend;

3. Motion

to strike is GRANTED as to paragraph 69 and is otherwise DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: August 7, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]

In their moving papers, SK did not develop their uncertainty arguments. The court declines to do so, too.